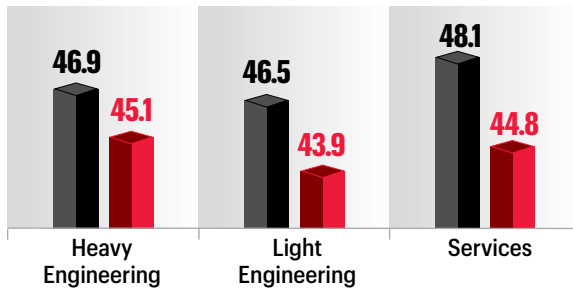
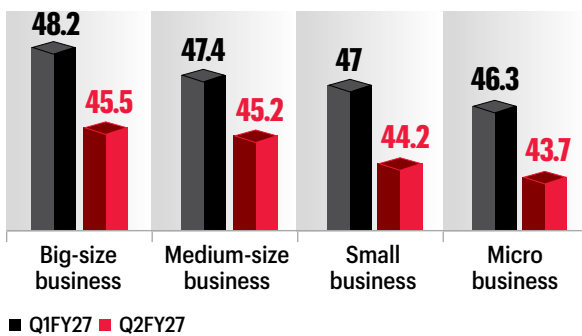


PAIN FELT ACROSS SECTORS, SIZES OF INDUSTRY

Confidence across sectors receded further



From big to micro, all businesses post a drop in sentiment



Businesses expect economic growth to be lower this fiscal



Most companies are not planning any capital investments this fiscal year

WOE OF AFTERMATH

Discussions with industry sources and experts indicate that while the war may have ended, Q2 will remain challenging for companies as they battle price rise and wait for supply chains to return to normalcy.

The US and Iran signed an initial peace deal on June 17 with a 60-day time-frame to negotiate a final deal. The war has halted for now, with occasional violations, and the Strait of Hormuz has opened. Crude oil prices, which had surged to over \$120 per barrel, have cooled to pre-war levels and Brent crude price fell to around \$70 on July 2. Qatar plans to restart and ramp up its LNG production to full capacity. For India, all this translates into lower prices and easier supplies. That will help reduce pressure on the current account and fiscal deficits and, perhaps, ease inflation.

The rupee has strengthened as a result of the cease-

fire and a slew of measures announced by the Centre to boost foreign investments in government securities.

Madan Sabnavis, Chief Economist of Bank of Baroda, notes that everybody seemed to have been cautious in Q1 and nobody wants to invest as of now. "El Niño will impact incomes and ability to spend. Everybody is in a wait-and-watch mode," he says. Much of the corporate outlook for Q2 will also depend on the Q1 performance. While conditions have begun to normalise, a full recovery is likely in the second half of the year.

In its Economic Outlook for FY27, Bank of Baroda pegged GDP growth at 6.4-6.6% and inflation at 5-5.2%. "The impact of the war will be felt for the next six months," said the report released on June 24. It assumed that oil price will average \$80-90 per barrel in FY27.

Government sources underline that the economy is still robust and domestic demand remains strong, as is evident from indicators such as bank credit, GST collections and UPI transactions. Revisions of estimates of GDP growth, inflation and deficits will be undertaken later in the year when the situation further stabilises.

For now, the Reserve Bank of India has pegged GDP growth at 6.6% this fiscal and inflation at 5.1%, although expectations are that both could be higher than that.

On the domestic front, the strength and distribution of the monsoon is being closely monitored by policy-makers and firms to get a pulse of rural households.

Rumki Majumdar, Economist at Deloitte India, says India is likely to see a slow transition to normalcy in Q2FY27 as the impact of the peace deal slowly sets in. Volatility with respect to commodity prices, supply constraints, and rupee valuation will likely subside, she says. Overall, prices may see some elevation due to the lagged effect of the war, the impact of supply disruptions on input prices for Indian manufacturers and the slower recovery of crude oil prices, as several countries will rebuild their exhausting reservoirs.

One of the biggest downside risks would be the impact of El Niño and poor monsoon rains on agricultural output. A rainfall deficit will impact crop production and livelihoods of farmers, she notes.

"Overall, confidence of corporates may remain muted in the short term and businesses will remain cautious for the next six months or so. Concerns over US tariffs also continue until a trade deal is finalised and signed," says Majumdar.

THE FORECAST

These concerns were also evident in the responses of companies to survey questions about the challenges